

Characteristic	Discussion
	several weeks apart. The median width is 25 days.
Price rise after right bottom	Price must close above the confirmation point without forming a third bottom.
Volume	Usually higher on the left bottom than the right.
Breakout direction, confirmation	The breakout is upward when price closes above the highest peak between the two bottoms, confirming the pattern as a valid one. If it doesn't breakout upward, you don't have a valid double bottom.

Rise between bottoms. I removed the minimum price rise between bottoms of 10% because I prefer to let the double bottom pattern tell me how tall they should be. However, taller patterns perform better than do short ones, so keep that in mind as you search for a valid double bottom. The median height in the samples I looked at is just over 12%, probably because of the 10% minimum standard in patterns I used years ago.

Bottom low price. The two valleys should bottom near the same price. [Figure 27.1](#) pushes the limit because the bottoms differ by 8%. [Figure 27.3](#) is a better example as the bottoms are closer together.

Bottom separation. How far apart in time should the bottoms be? The median width is 25 days, measured from bottom to bottom. Wide patterns tend to outperform.

Price rise after right bottom. The rise from the right bottom to the confirmation price may be brief, but it usually takes a median of just under 2 weeks (13 days). If price makes a third bottom before confirmation, then you don't have a valid double bottom.

Volume. Most Adam & Eve double bottoms will show volume heavier on the left bottom than on the right. Do not exclude a pattern if it has volume higher on the right bottom.

Breakout direction. The breakout is always upward in a valid double bottom pattern. A breakout occurs when price *closes* above the highest peak between the two bottoms. It confirms the double bottom as a valid chart pattern. Only then should you consider buying the stock. I use the closing price in my statistics because it helps prevent premature breakouts.